EQUITY RESEARCH | CONSUMER STAPLES | TOBACCO & NICOTINE

Philip Morris International Inc. (NYSE: PM)

Comprehensive Investment Analysis & Portfolio Thesis

Report date: August 21, 2026 | **Portfolio baseline:** retirement-portfolio-27.xlsx | **Market close:** $188.23

RECOMMENDATION	CONVICTION	12M FAIR VALUE	DIVIDEND YIELD
HOLD Add on material weakness	8 / 10 High-quality thesis; valuation limits upside	$205 Base case	3.1% $5.88 annualized

2026E ADJ. P/E	2027E P/E	PORTFOLIO WEIGHT	UNREALIZED GAIN
22.6x Guidance midpoint	20.6x Consensus EPS $9.15	2.03% 181.209 shares	+127.6% vs. current cost basis

Investment view: PM has become the premium global tobacco/nicotine franchise because IQOS and ZYN are converting a shrinking combustible category into a growing, higher-quality smoke-free earnings stream. The thesis remains intact and execution is strong. However, at roughly 22.6x 2026 adjusted EPS and 20.6x 2027 consensus EPS, the stock already capitalizes a large portion of that advantage. For the existing 2.03% portfolio position, the best action is to hold, collect the dividend, and reserve incremental capital for a pullback.

Prepared as a portfolio research document. Figures are rounded. Market and consensus data are current to the report date where available.

1. Executive Summary

- **Transformation is real and increasingly profitable.** Smoke-free products represented about 42% of Q2/H1 2026 net revenue, up from 41.5% for full-year 2025, and PMI intends to exceed two-thirds by 2030. International smoke-free net revenue grew 11.8% organically in Q2 and 13.7% in H1 2026.[1]
- **IQOS remains the core engine.** Q2 IQOS shipment volume increased 7.6%; PMI says it controls roughly three-quarters of global heat-not-burn category volume. Excluding temporary Japan and Poland headwinds, adjusted in-market sales grew about 10%.[1]
- **ZYN is the biggest near-term debate.** Q2 shipments rose only 1.8% to 2.9 billion pouches and U.S. offtake was flat to slightly higher amid a more competitive market. New variants and price architecture are designed to restore momentum.[1]
- **Regulatory positioning improved materially.** On June 30, 2026, FDA granted modified-risk orders to 20 ZYN products; FDA also renewed modified-exposure orders for selected IQOS products in April. Reuters reported on August 21 that FDA authorized 11 additional ZYN Ultra products, adding near-term support to the U.S. thesis.[6][7][9]
- **Cash generation and deleveraging are solid.** PMI guides to about $13.5 billion of 2026 operating cash flow and $1.4-$1.6 billion of capex, implying roughly $12 billion of pre-dividend free cash flow. Net debt was about $43.1 billion at June 30 and management targets net debt/adjusted EBITDA near 2.0x by year-end.[1][2]
- **Valuation, not business quality, is the constraint.** PM trades at a material premium to MO and BTI, reflecting superior growth and smoke-free exposure. Our base fair value is $205; probability-weighted value is about $202. Including the current dividend, expected 12-month return is roughly 10.7%.
- **Portfolio recommendation: HOLD.** Maintain the present ~2% position. Preferred add zone is **$165-$175**; review for trimming above **$220** if estimate growth does not accelerate.

2. Portfolio Position & Role

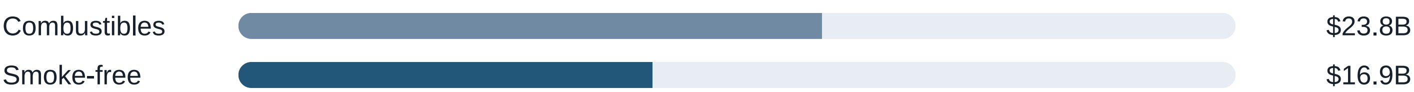
Metric	Current Position	Portfolio Interpretation
Shares	181.209	Established core position, not a starter allocation.
Market value	$34,109	Meaningful but not concentration-level exposure.
Portfolio allocation	2.03%	Reasonable strategic weight for a defensive compounder.
Cost basis	$14,988	Very low embedded basis relative to current value.
Unrealized gain	$19,121 / +127.6%	Large tax-deferred economic cushion; argues against unnecessary turnover.
Annualized dividend income	$1,066	Reliable income contribution with growth potential.
Yield on cost	7.1%	Excellent income efficiency on original capital.

Portfolio fit: PM provides defensive cash flow, low market beta, international revenue exposure and dividend growth. The portfolio already carries other consumer-staples exposure through KO, PEP, SCHD and diversified funds, so the current PM weight is sufficient. Incremental dollars should require a stronger valuation margin of safety.

3. Business Overview & Strategic Transformation

Philip Morris International is no longer well described as a conventional cigarette company. Its economic model is increasingly split between a still-large, cash-generative combustible franchise and a faster-growing smoke-free portfolio built around **IQOS** (heated tobacco), **ZYN** (nicotine pouches), and **VEEV** (e-vapor). Smoke-free products are sold in 109 markets and generated approximately 42% of total net revenue in Q2 2026.[1]

2025 Product Mix



2025 total net revenue: $40.65B. Smoke-free mix: 41.5%.[3][4]

Metric	2023	2024	2025	Read-through
Total net revenue ($B)	35.17	37.88	40.65	Healthy nominal growth despite declining cigarette category volumes.
Smoke-free net revenue ($B)	12.84	14.66	16.85	Primary structural growth engine.
Smoke-free mix	36.5%	38.7%	41.5%	Transformation is measurable, not aspirational.
Adjusted diluted EPS	$6.01	$6.57	$7.54	9.3% growth in 2024; 14.8% in 2025.
Operating cash flow ($B)	9.20	12.22	12.23	Strong cash conversion and funding capacity.

Moat Assessment

Moat Source	Assessment	Why It Matters
Brands / consumer habit	Strong	Marlboro outside the U.S., IQOS and ZYN support pricing and repeat purchase behavior.
Regulatory / scientific capability	Strong	FDA authorizations, MRTP dossiers and years of scientific investment create a high barrier to entry.[6][7]
Distribution scale	Strong	Global retail relationships and multi-category distribution lower go-to-market cost.
Manufacturing scale	Strong	Large installed manufacturing base and ongoing smoke-free capex improve unit economics.
Technology / device ecosystem	Moderate-Strong	IQOS device-consumable ecosystem supports retention, though competitors can innovate around it.
Regulatory durability	Mixed	Authorization is a moat, but the entire category remains exposed to excise, flavor and marketing restrictions.

4. Q2 / H1 2026 Operating Review

Metric	Q2 2026	YoY	H1 2026	YoY
Net revenue	$11.19B	+10.4% reported / +7.6% organic	$21.34B	+9.8% / +5.3% organic
Adjusted operating income	$4.77B	+12.4%	$8.94B	+11.3%
Adjusted OI margin	42.6%	+0.7 pp	41.9%	+0.6 pp
Adjusted diluted EPS	$2.20	+15.2%	$4.16	+15.6%
Operating cash flow	—	—	$5.09B	vs. $3.06B
Capex	—	—	$0.73B	vs. $0.76B

H1 2026 Segment Economics

Segment	H1 Revenue	Organic Growth	Adj. Gross Margin	Investment Read-through
International Smoke-Free	$7.71B	**+13.7%**	70.0%	Best combination of growth and improving economics.
International Combustibles	$12.15B	+3.8%	67.7%	Pricing still offsets most volume pressure.
U.S.	$1.48B	**-16.5%**	63.9%	Main near-term execution risk; ZYN inventory/ competition and investment burden.

5. Core Growth Drivers

IQOS - Still the Primary Growth Engine

IQOS shipment volumes grew 7.6% in Q2. PMI estimates it holds roughly three-quarters of global heat-not-burn category volume. IQOS reached 9.2% of combined cigarette and heated-tobacco industry volumes in markets where it is present. Adjusted in-market sales grew 5.1%, but excluding Japan and Poland - where excise-driven pricing and flavor rules created temporary pressure - growth was approximately 10%.[1]

> **Thesis implication:** IQOS provides the strongest evidence that PMI can convert smokers into a higher-growth recurring consumables model without sacrificing gross margin.

ZYN - Highest Upside, Highest Near-Term Debate

Q2 ZYN shipments increased only 1.8% to 2.9 billion pouches and U.S. offtake was flat to slightly higher. PMI attributed the softer trend to inventory comparisons and a more uneven competitive landscape. The company has responded with ZYN ULTRA, more strengths/flavors, lower price-per-pouch variants and higher second-half commercial investment.[1]

The regulatory backdrop improved: FDA granted modified-risk orders to 20 ZYN products on June 30, 2026, permitting a specific reduced-risk claim versus cigarettes. Reuters reported on August 21 that FDA authorized 11 additional ZYN Ultra products. These actions strengthen the brand's legal/regulatory moat, but they do not eliminate future youth-use, flavor or marketing scrutiny.[6][9]

VEEV & Multi-Category Strategy

VEEV is smaller than IQOS and ZYN but is growing rapidly. Strategically, the ability to offer heated tobacco, pouches and e-vapor matters because adult nicotine preferences differ by market. Multi-category breadth reduces dependence on any one product form and increases lifetime customer capture.

6. 2026 Guidance & Earnings Outlook

2026 Guidance / Consensus	Current View	Interpretation
Organic net revenue growth	5%-7%	Above traditional tobacco growth; requires continued smoke-free mix shift and pricing.
Organic operating income growth	7%-9%	Implies continued margin expansion.
Adjusted diluted EPS	$8.26-$8.41	+9.5%-11.5% vs. 2025; midpoint $8.34.
Consensus 2026 EPS	~$8.39	Street sits near upper half of company range.[10][11]
Consensus 2027 EPS	~$9.15	~9% additional growth.[10][11]
Operating cash flow	~$13.5B	Supports dividends, capex and deleveraging.
Capex	$1.4-$1.6B	Predominantly smoke-free manufacturing capacity.
Net debt / adj. EBITDA	~2.0x YE target	Balance-sheet normalization remains a major value lever.

7. Balance Sheet, Cash Flow & Capital Allocation

June 30, 2026
Cash: $6.0B
Total debt: $49.1B
Net debt: ~$43.1B
Long-term ratings: Moody's A2 / S&P A- / Fitch A.[2]

2026 cash framework
OCF guide: ~$13.5B
Capex midpoint: ~$1.5B
FCF proxy: ~$12.0B
Dividend run-rate: ~$9.2B before any September increase.

Management is prioritizing deleveraging and has guided to no share repurchases in 2026. This is appropriate: the Swedish Match acquisition created substantial strategic value through ZYN, but it also elevated leverage. Progress toward ~2.0x net debt/adjusted EBITDA should gradually lower financial risk and improve capital allocation flexibility.[1][2]

Dividend Quality

PMI has increased its annual dividend every year since becoming public in 2008. The annualized dividend is currently $5.88 per share ($1.47 quarterly), following an 8.9% increase in September 2025. The company lists September 18, 2026 as the next scheduled declaration date.[5]

> **For this portfolio:** the existing PM position generates about **$1,066** of annualized dividend income and a yield on cost of roughly **7.1%**.

8. Earnings Quality

- **Cash conversion is credible.** 2025 operating cash flow was $12.2B, close to reported net income, and the 2026 guide implies additional cash growth.[3]
- **Non-GAAP adjustments are meaningful but understandable.** Purchase-accounting amortization, Canadian RBH impairment and other one-offs create noise in reported EPS; adjusted EPS better reflects ongoing operations, but investors should not ignore the recurring nature of acquisition-related amortization.
- **Working capital can distort interim periods.** H1 cash flow improved sharply year over year, but full-year cash conversion remains the more useful measure because excise-tax timing and inventory can be large.
- **Dividend coverage is adequate.** A ~$12B 2026 FCF proxy covers the current ~$9.2B dividend run-rate by roughly 1.3x before considering any increase.

9. Valuation

At $188.23, PM's market capitalization is approximately $293B and enterprise value roughly $336B using June 30 net debt. The stock trades at **22.6x** the midpoint of 2026 adjusted EPS guidance and **20.6x** 2027 consensus EPS. That premium is justified by superior growth and smoke-free exposure - but it also means execution disappointments can produce meaningful multiple compression.

Peer Cross-Check

Company	Forward P/E	Dividend Yield	Growth / Quality Read-through
Philip Morris (PM)	~22.6x 2026E	~3.1%	Best structural growth; premium smoke-free mix; strongest rerating already captured.
Altria (MO)	~11.1x	~6.6%	Higher income, lower growth, more concentrated U.S. cigarette risk.
British American Tobacco (BTI)	~11.2x	~5.7%	Cheaper global alternative; slower expected growth and less premium smoke-free positioning.

Peer multiples/yields from S&P Global-derived market data pages current in August 2026.[10]

DCF Cross-Check

We use 2026 FCF of approximately $12.0B (OCF guidance less capex midpoint), five years of decelerating growth (8%, 8%, 7%, 6%, 5%), and a range of discount rates and terminal growth assumptions. The model is highly sensitive because PM is a long-duration cash-flow asset.

WACC \ Terminal Growth	2.50%	3.00%	3.25%	3.50%
7.00%	$185	$208	$221	$237
7.25%	$174	$194	$205	$219
7.50%	$163	$181	$192	$203
7.75%	$154	$170	$179	$190
8.00%	$146	$160	$168	$178

Central DCF: 7.25% WACC / 3.25% terminal growth produces approximately **$205/share**.

Scenario Valuation

Case	Probability	2027 EPS	P/E	Value	Key Assumptions
Bear	20%	$8.60	18.0x	**$155**	Persistent ZYN share pressure; more regulation; slower smoke-free mix shift; multiple compression.
Base	55%	$9.15	22.4x	**$205**	International smoke-free growth stays double-digit; U.S. stabilizes; margins and deleveraging progress.
Bull	25%	$9.55	24.6x	**$235**	ZYN reaccelerates, IQOS U.S. de-risks, smoke-free mix/margins exceed plan and premium multiple holds.

Probability-weighted value: approximately **$202** per share. Including the current annualized dividend, expected 12-month total return is roughly **10.7%**. This is positive but not sufficient for an aggressive add given regulatory and multiple risk.

10. Variant Perception vs. Consensus

Consensus is already constructive: 2026 EPS is centered near $8.39, 2027 near $9.15, and broad analyst price targets cluster around the low-$200s, with several post-Q2 targets in the $205-$225 range.[10]

Where we are more positive: the combination of ZYN MRTP status, additional product authorizations, IQOS regulatory renewals and improving international smoke-free gross margins can extend PM's premium growth duration longer than a conventional tobacco model would imply.

Where we are more cautious: the market is already paying a premium multiple for that duration. ZYN's Q2 U.S. momentum was not strong enough to justify further multiple expansion on its own. Our thesis does not require PM to rerate above the low-20s P/E range; it requires earnings to grow into the current valuation.

11. Risk Matrix

Risk	Likelihood	Impact	What to Monitor
U.S. ZYN share loss / price competition	Medium	High	Retail offtake, shipments, gross margin, promotional intensity, VELO/on! share.
Nicotine-pouch regulation / youth-use scrutiny	Medium	High	FDA enforcement, flavor restrictions, state/federal marketing rules.
IQOS adoption slows	Medium	Medium-High	HTU IMS growth, Japan pricing, Europe share, U.S. ILUMA pathway.
Combustible decline accelerates faster than pricing	Medium	Medium	Cigarette volumes and price/mix by region.
FX / Russia cash constraints	Medium	Medium	USD strength, ability to upstream cash, geopolitical restrictions.
Leverage / refinancing	Low-Medium	Medium	Net debt/EBITDA, ratings, interest expense, large M&A.
Valuation compression	Medium	High	Forward P/E vs. EPS revisions; rates and consumer-staples relative valuation.

12. Catalysts & Monitoring Calendar

Timing	Catalyst	What Would Be Positive
Now / H2 2026	ZYN ULTRA and expanded portfolio rollout	Reacceleration in U.S. offtake and shipments without material margin sacrifice.
September 18, 2026	Scheduled dividend declaration date	Another dividend increase consistent with earnings/FCF growth.[5]
Late October 2026	Q3 earnings window	U.S. sequential improvement, international SFP organic growth >10%, FY guidance maintained or raised.
H2 2026 / 2027	IQOS ILUMA U.S. regulatory/ commercial progress	Clear FDA path and credible launch economics.
Year-end 2026	Deleveraging milestone	Net debt/adjusted EBITDA near the ~2.0x target.

13. Thesis Tracker

Working

- Smoke-free mix is above 40% and continues to rise.
- International smoke-free revenue growth is double-digit and gross margin is ~70%.
- Adjusted operating margin is expanding and EPS is growing double digits.
- Regulatory moat strengthened through ZYN MRTP and IQOS renewals.
- Balance-sheet leverage is moving in the right direction.

Weakening / Watch Items

- U.S. segment revenue and gross profit remain pressured.
- ZYN's Q2 growth is below what the current valuation ideally requires.
- The stock's premium multiple leaves limited room for disappointment.

Thesis-Break Conditions

- International smoke-free organic growth falls below high-single digits for two consecutive quarters without a clear temporary explanation.
- ZYN loses material U.S. share for multiple quarters despite portfolio expansion.
- Adjusted EPS growth structurally falls below mid-single digits while the stock remains above ~20x forward earnings.
- Major regulatory restrictions materially impair nicotine pouch or heated-tobacco economics.
- Net leverage reverses above ~2.5x due to weak cash flow or another large acquisition.

14. Recommendation & Action Framework

Price Zone	Action	Rationale
< $165	**Strong Add**	Meaningful margin of safety if thesis intact; roughly 18x 2027 consensus EPS.
$165-$175	**Add**	Attractive risk/reward for a premium defensive compounder.
$175-$205	**Hold / selective adds**	Current zone: earnings growth can compound value, but valuation is not cheap.
$205-$220	**Hold**	Requires continued estimate upgrades to justify upside.
> $220	**Review for Trim**	Multiple would begin to price a near-bull case unless earnings expectations rise materially.

Final recommendation: HOLD - Conviction 8/10.
PM remains one of the highest-quality franchises in global tobacco/nicotine and is successfully transforming its earnings mix. The existing 2.03% portfolio position should be retained. At $188.23, valuation is reasonable for quality but no longer offers a large enough margin of safety for aggressive new capital. The preferred strategy is

to compound the dividend and add only on a pullback into the $165-$175 range or after a material upward revision to the earnings trajectory.

15. Sources

1. **[1] PMI Q2 2026 Results**
   https://www.pmi.com/investor-relations/press-releases-and-events/press-releases-overview/press-release-details?newsId=30296
2. **[2] PMI Q2 2026 Form 10-Q**
   https://www.sec.gov/Archives/edgar/data/1413329/000162828026049493/pm-20260630.htm
3. **[3] PMI 2025 Annual Report**
   https://www.pmi.com/content/dam/pmicom/global/docs/investor_relation/pmi-2025-annual-report.pdf
4. **[4] PMI 2025 Full-Year Results**
   https://www.pmi.com/media-center/press-releases/press-details?newsId=29566
5. **[5] PMI Stock & Dividend Information**
   https://www.pmi.com/investor-relations/pm-stock-and-bond-information
6. **[6] FDA - ZYN Modified Risk Authorization (June 30, 2026)**
   https://www.fda.gov/tobacco-products/ctp-newsroom/fda-authorizes-20-zyn-nicotine-pouches-be-marketed-specific-modified-risk-claim
7. **[7] FDA - IQOS MRTP Renewal (April 17, 2026)**
   https://www.fda.gov/tobacco-products/ctp-newsroom/fda-renews-authorization-five-iqos-products-be-marketed-exposure-modification-claims
8. **[8] Reuters - Nicotine pouch industry outlook (Aug. 18, 2026)**
   https://www.reuters.com/business/healthcare-pharmaceuticals/can-nicotine-pouches-drive-big-tobaccos-future-beyond-cigarettes-2026-08-18/
9. **[9] Reuters - 11 new ZYN Ultra products authorized (Aug. 21, 2026)**
   https://www.reuters.com/business/healthcare-pharmaceuticals/philip-morris-gets-fda-nod-11-new-nicotine-pouches-2026-08-21/
10. **[10] StockAnalysis - PM analyst forecast / S&P Global data**
    https://stockanalysis.com/stocks/pm/forecast/
11. **[11] Boursorama - PM consensus estimates (Aug. 20, 2026)**
    https://www.boursorama.com/cours/consensus/PM/
12. **[12] MarketWatch - PM close (Aug. 21, 2026)**
    https://www.marketwatch.com/data-news/philip-morris-international-inc-stock-underperforms-friday-when-compared-to-competitors-254f979c-6c0020eeb4b9
13. **[13] Portfolio baseline**
    Internal source: retirement-portfolio-27.xlsx

Methodology note: Valuation is an analytical estimate, not a forecast. DCF assumptions are explicitly stated and are highly sensitive to the discount rate and terminal growth rate. Consensus estimates are third-party figures and can change rapidly.